HM

Harry Markowitz

Nobel economist · Modern Portfolio Theory

1927–2023 · American economist, Nobel laureate (1990).

> *"Diversification is the only free lunch."*

THE WHY THAT DROVE THE WORK

Markowitz asked how an investor should construct a portfolio given that returns are uncertain, and showed that risk depends on how assets move together, not just on each asset alone.

INTELLECTUAL FOUNDATION

His 1952 paper formalised diversification mathematically, defining the efficient frontier of portfolios offering the best return for a given risk.

FRAMEWORKS ANCHORED IN THIS COURSE

He anchors Modern Portfolio Theory and informs the Diversification Curve in Unit 6's investment-foundations Slibrary.

HOW THE IDEAS OPERATIONALISE

MPT operationalises as combining imperfectly correlated assets to minimise variance for a target return.

LIMITATIONS & CRITIQUE

MPT relies on estimates of returns, variances and correlations that are noisy and unstable, motivating later refinements such as Black-Litterman.

ENDURING IMPACT

Markowitz founded modern quantitative finance; diversification as the 'only free lunch' remains a bedrock principle.

ON THE SAME PANEL (UNIT 6)

Fischer Black & Robert Litterman · Giant 25
Eugene Fama & Kenneth French · Giant 26
Marcos López de Prado · Giant 27
Agrawal, Gans & Goldfarb · Giant 28

SOURCES (HARVARD REFERENCING STYLE)

Markowitz, H. (1952) 'Portfolio selection', The Journal of Finance, 7(1).
Markowitz, H. (1959) Portfolio Selection. New York: Wiley.